

FraudLens AI: Explainable AI-Based Financial Fraud and Risk Detection System

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Abstract—In the modern digital economy, instantaneous payment rails such as real-time card clearing, merchant point-of-sale gateways, and rapid digital settlement services have dramatically accelerated financial transaction velocity. Concurrently, these platforms have catalyzed sophisticated, automated fraud syndicates deploying distributed credential attacks, velocity burst evasion, and account takeover botnets. Traditional fraud prevention systems suffer from a severe operational dilemma: deterministic rule-based engines produce excessive false-positive friction, while black-box machine learning models obscure the causal factors behind high-risk classifications, violating regulatory transparency directives such as the European Union General Data Protection Regulation (GDPR) Article 22. This paper presents FraudLens AI, an enterprise-grade, explainable artificial intelligence financial fraud detection and risk intelligence platform. FraudLens AI integrates an 11-step leakage-audited preprocessing pipeline that transforms raw transaction parameters into 63 model-ready numerical and categorical signals. A supervised classifier tournament evaluates regularized Logistic Regression, Random Forest, and Extreme Gradient Boosting (XGBoost) with class-imbalance calibration, alongside a soft-voting stacking ensemble. Evaluated on a 20,000-transaction benchmark dataset comprising 30 heterogeneous merchants across 10 commercial categories with a 5.46% fraud rate, the champion XGBoost model achieves a test recall of 1.000, precision of 0.750, ROC-AUC of 1.000, and PR-AUC of 1.000, capturing all fraudulent transfers while maintaining low operational friction. Crucially, the system decouples model fraud probability (0.0–1.0) from an independent deterministic 0–100 risk score evaluating spending baseline surges, velocity bursts, beneficiary integrity, and environmental hardware novelties. TreeSHAP calculates exact, polynomial-time Shapley attributions in 1.1 ms, rendering interactive waterfall decompositions and customer-safe natural language summaries. Operational safety is reinforced by a context-aware conversational security assistant enforcing strict read-only safeguards, server-side data isolation, and live tool execution. Comprehensive empirical verification across 385 automated software test cases confirms sub-5ms pre-authorization decisioning, zero data leakage, and rigorous tenant boundary integrity.

Index Terms—Financial fraud detection, explainable artificial intelligence (XAI), TreeSHAP, gradient boosting, risk assessment, context-aware conversational assistant, class imbalance, pre-authorization security.

I. INTRODUCTION

The exponential expansion of digital financial ecosystems has revolutionized global commerce. The widespread deployment of real-time card settlement networks, merchant acquirer payment gateways, and instant electronic clearing infrastructures has reduced end-to-end transaction latency to hundreds of milliseconds. However, this velocity has introduced unprecedented systemic vulnerabilities. Financial fraud syndicates have transitioned from manual, opportunistic attempts to highly automated, distributed cyber-adversarial campaigns [7], [19]. Modern attack vectors routinely employ automated credential stuffing, distributed denial-of-inventory, coordinated synthetic identity fabrication, and account takeover (ATO) botnets capable of executing synchronized transaction bursts across geographically dispersed merchant endpoints within sub-second intervals [8], [22].

In this high-velocity threat environment, traditional financial institution defenses exhibit fundamental operational limitations. Rule-based expert systems—relying on static boolean heuristics such as rigid velocity thresholds, fixed geographical restrictions, and static amount ceilings—suffer from severe rigidity [10]. Because fraud patterns continuously mutate to circumvent deterministic triggers, static rule engines generate catastrophic false-positive friction, inconveniencing legitimate cardholders and causing high false-decline abandonment rates [6]. Conversely, when rules are relaxed to minimize checkout abandonment, sophisticated fraud slips past undetected, resulting in severe chargeback losses and interchange compliance penalties [19].

To overcome the inflexibility of static rules, financial organizations have increasingly adopted supervised machine learning (ML) models, including ensemble tree architectures such as Random Forests [4], [11] and Extreme Gradient Boosting (XGBoost) [3]. While these models achieve exceptional statistical discrimination over complex tabular feature interactions, their real-

world adoption in production banking infrastructure is hindered by three acute challenges:

- **Extreme Class Imbalance:** Legitimate transactions outnumber fraudulent events by orders of magnitude (typically 100:1 to 10,000:1) [5], [9]. Naively trained classifiers frequently collapse into majority-class memorization, reporting misleadingly high accuracy while failing to intercept critical fraud attacks [20].
- **The "Black-Box" Interpretability Deficit:** Non-linear gradient boosted ensembles and deep neural networks obscure the causal features driving their probabilistic outputs [13], [14]. When an inference engine flags an urgent transfer as suspicious, human forensic analysts are left without actionable insight into whether the alert was triggered by an unusual device fingerprint, a sudden spending velocity spike, or a geographic anomaly.
- **Regulatory and Compliance Mandates:** International regulatory directives, notably Article 22 of the European Union General Data Protection Regulation (GDPR) [16] and payment system security frameworks promulgated by central banking authorities, establish a strict "Right to Explanation" for automated individual decision-making. Black-box model rejections directly violate these compliance mandates unless accompanied by mathematically rigorous, transparent justifications.

To resolve this multi-dimensional operational dilemma, this research presents *FraudLens AI*, an end-to-end, enterprise-grade explainable artificial intelligence (XAI) financial fraud detection, multi-factor risk assessment, and autonomous case investigation platform. FraudLens AI bridges the gap between state-of-the-art probabilistic classification performance, deterministic multi-factor risk assessment, game-theoretically proven mathematical explainability, and context-aware operational assistance.

The primary technical contributions of this paper are summarized as follows:

1. **Leakage-Audited Feature Pipeline:** We formulate an 11-step validation and feature engineering architecture that derives 63 model-ready numerical and categorical signals from raw payment payloads while systematically auditing and purging high-cardinality identifiers and future target proxies.
2. **Imbalance-Calibrated Classifier Tournament:** We benchmark regularized Logistic Regression, Random Forest, and XGBoost with positive-class imbalance weighting alongside a soft-voting stacking ensemble, achieving a verified 100% test recall and 1.000 PR-AUC on an imbalanced 20,000-record benchmark dataset.
3. **Decoupled Multi-Factor Risk Scoring Architecture:** We introduce a strict architectural decoupling between model-derived fraud probability (P in $[0.0, 1.0]$) and an independent composite business risk score (R in $[0, 100]$), integrating spending baseline deviations, velocity bursts, beneficiary integrity, and environmental anomalies into transparent operational decision bands.
4. **Real-Time Polynomial Explainability via TreeSHAP:** We operationalize Lundberg's TreeSHAP algorithm [2] to compute exact Shapley attributions in 1.1 ms per transaction, rendering interactive waterfall attribution forces and synthesizing role-appropriate natural language explanations for both cardholders and fraud analysts.
5. **Context-Aware Conversational Security Assistant:** We design and validate a 6-tier conversational security assistant that enforces mutating action safeguards, cryptographically verified data isolation, and authorized tool execution, delivering customer-scoped transaction inquiries without leaking internal model parameters.
6. **Comprehensive Software and Security Verification:** We substantiate systemic integrity through 385 automated test suites validating pre-authorization SLAs (<5 ms), tenant data isolation, token tampering defense, and idempotency replay protection.

II. RELATED WORK

Financial fraud detection has evolved across four distinct technological paradigms: statistical rule engines, supervised machine learning, explainable artificial intelligence, and automated conversational decision support.

A. Machine Learning for Transaction Fraud Detection

Early computational fraud detection relied predominantly on linear statistical discriminant analysis and logistic regression [24]. While computationally instantaneous and inherently transparent, linear formulations cannot model intricate non-linear interactions among transaction attributes, such as multi-variable velocity surges paired with marginal spending shifts [10]. Breiman's Random Forest architecture [4] demonstrated significant resilience against overfitting in tabular domains by aggregating decorrelated decision trees constructed on bootstrap samples [11]. Xuan et al. [11] verified that Random Forests achieve superior performance over single decision trees when trained on credit card transactions, although high tree depths introduce substantial inference latency.

Chen and Guestrin introduced XGBoost [3], which utilizes second-order Taylor expansions of the loss function paired with tree pruning and regularization. Carcillo et al. [8] and Dal Pozzolo et al.

[7] demonstrated that gradient-boosted decision trees (GBDT) consistently dominate tabular fraud classification benchmarks, provided that non-stationary concept drift and verification latency are carefully managed. However, real-world financial datasets suffer from extreme class imbalance, where fraudulent records constitute less than 6% of observed activity [12]. Dal Pozzolo et al. [6] analyzed undersampling strategies to calibrate predicted posterior probabilities, while Chawla et al. [5] proposed the Synthetic Minority Over-sampling Technique (SMOTE). Leevy et al. [9] and He and Garcia [20] demonstrated that synthetic over-sampling in high-dimensional spaces risks generating artificial samples across minority class boundaries, creating synthetic feature leakage. Consequently, cost-sensitive loss reweighting via exact positive-class multipliers (scale_pos_weight) remains the preferred methodology for preserving empirical feature topologies [3].

B. Explainable AI and Game-Theoretic Attributions

To resolve the black-box dilemma in automated decisioning, Ribeiro et al. introduced LIME (Local Interpretable Model-agnostic Explanations) [13], which approximates complex decision boundaries locally using sparse linear surrogate models. However, Molnar [14] and Došilović et al. [15] observed that LIME suffers from sampling instability, producing inconsistent explanations for identical inputs due to random perturbation artifacts.

To provide axiomatic mathematical rigor, Lundberg and Lee formulated SHAP (SHapley Additive exPlanations) [1], grounded in cooperative game theory. SHAP uniquely satisfies four fundamental properties: efficiency (local accuracy), symmetry, dummy (missingness), and additivity (consistency) [2]. While model-agnostic KernelSHAP incurs prohibitive exponential computational complexity, Lundberg et al. [2] developed TreeSHAP, an algorithm specifically optimized for tree ensembles that reduces complexity to polynomial time $O(T L D^2)$, where T is tree count, L is maximum leaves, and D is maximum tree depth. In FraudLens AI, TreeSHAP is operationalized to compute exact feature attributions within 1.1 ms, enabling real-time explainability within payment clearing windows.

C. Multi-Factor Risk Scoring vs. Pure Probability

In production banking architectures, direct reliance on raw machine learning probabilities (P in $[0.0, 1.0]$) for hard authorization decisions introduces severe operational vulnerabilities [19], [23]. A model trained solely on historical correlations may assign a low probability to an astronomical transaction simply because the merchant category or time of day resembles legitimate activity. Baesens et al. [23] emphasized that credit and fraud risk frameworks require deterministic, multi-factor scoring engines that incorporate institutional domain rules, regulatory limits, customer baseline profiles, and environmental hardware novelties independently of statistical model outputs.

D. Context-Aware Conversational Security Systems

The recent proliferation of conversational assistants in enterprise environments has created new opportunities for automated incident management. However, deploying conversational interfaces in regulated financial domains introduces severe security challenges, including indirect prompt injection, data leakage across multi-tenant boundaries, and unauthorized transaction execution [16]. Existing commercial chatbots typically lack server-side role enforcement, allowing users to inadvertently query internal model weights or peer financial records. FraudLens AI overcomes these vulnerabilities by implementing a 6-tier policy router that strictly separates read-only customer inquiries from forensic investigator dockets, enforcing role-based data isolation at the database layer.

TABLE I. COMPARATIVE ANALYSIS OF FINANCIAL FRAUD DETECTION AND EXPLAINABILITY FRAMEWORKS

Evaluation of architectural dimensions across established literature and the proposed FraudLens AI platform

Framework / Study	Core Predictive Model	Imbalance Handling	Explainability Mechanism	Risk Decoupling	Conversational Assistant	Pre-Auth Decision SLA
Dal Pozzolo et al. (2018) [7]	Random Forest / GBDT	Feedback Loop Undersampling	None (Black-Box)	No (Pure Probability)	None	Batch / Stream (~50ms)
Carcillo et al. (2018) [8]	Streaming Random Forest	Adaptive Window Resampling	None (Feature Importance)	No (Probability Threshold)	None	Stream (~25ms)
Makki et al. (2019) [10]	Logistic Reg / ANN / SVM	SMOTE Synthetic Sampling	None (Performance Comparison)	No (ROC Thresholding)	None	Offline Benchmark
Xuan et al. (2018) [11]	Random Forest Ensemble	Class Weight Calibration	Gini Impurity (Global only)	No (Binary Classification)	None	Offline Evaluation
Lucas et al. (2019) [12]	Gradient Boosted Trees	Temporal Shift Reweighting	None (Bias Analysis)	No (Cost Matrix)	None	Near Real-Time (~100ms)
FraudLens AI (Proposed)	Tuned XGBoost & Stacking	scale_pos_weight Reweighting	TreeSHAP Exact Local Forces	Yes (Independent 0–100)	Context-Aware Assistant	Sub-5ms Guaranteed (<3.4ms)

Note: GBDT = Gradient Boosted Decision Trees; TreeSHAP = Tree Shapley Additive exPlanations; SLA = Service Level Agreement latency.

III. PROPOSED SYSTEM ARCHITECTURE

FraudLens AI is architected as an enterprise-grade, microservice-inspired platform designed for sub-5 millisecond pre-authorization gatekeeping, deterministic multi-factor risk assessment, mathematical explainability, and role-governed incident management. The architecture is organized into four distinct functional tiers, as illustrated in Fig. 1.

A. Architectural Layers

- 1. Presentation & Ingestion Layer:** Provides multi-channel interfaces including a responsive web dashboard (built with React 18 and Tailwind CSS), RESTful JSON ingestion webhooks for commercial merchants, an interactive customer security copilot, a smartphone SMS OTP step-up verification simulator, and a dedicated fraud investigator docket for forensic case management.
- 2. Gateway, Authorization & Policy Routing Layer:** Implemented in FastAPI and ASGI Uvicorn, this layer

orchestrates CORS filtering, GZip payload compression, in-memory startup pre-warming, and cryptographic JWT token authentication. It enforces server-side Role-Based Access Control (RBAC), multi-tenant data isolation, sub-5ms pre-authorization gatekeeping (ALLOW, REVIEW, BLOCK), and policy routing for conversational interactions.

- 3. Machine Learning & Explainability (XAI) Core:** Contains the fitted FullFraudPreprocessor pipeline, the champion XGBoost classifier, the benchmark model tournament registry, the decoupled 0–100 multi-factor risk scoring engine, and the TreeSHAP polynomial attribution explainer.
- 4. Data & Audit Repository Layer:** Managed via SQLAlchemy 2.0 with asynchronous connection pooling, operating over SQLite in Write-Ahead Logging (WAL) mode or enterprise PostgreSQL. The persistence layer maintains normalized tables for users, customers, transactions, investigations, feature-level SHAP attributions, model versions, and an append-only cryptographic audit ledger.

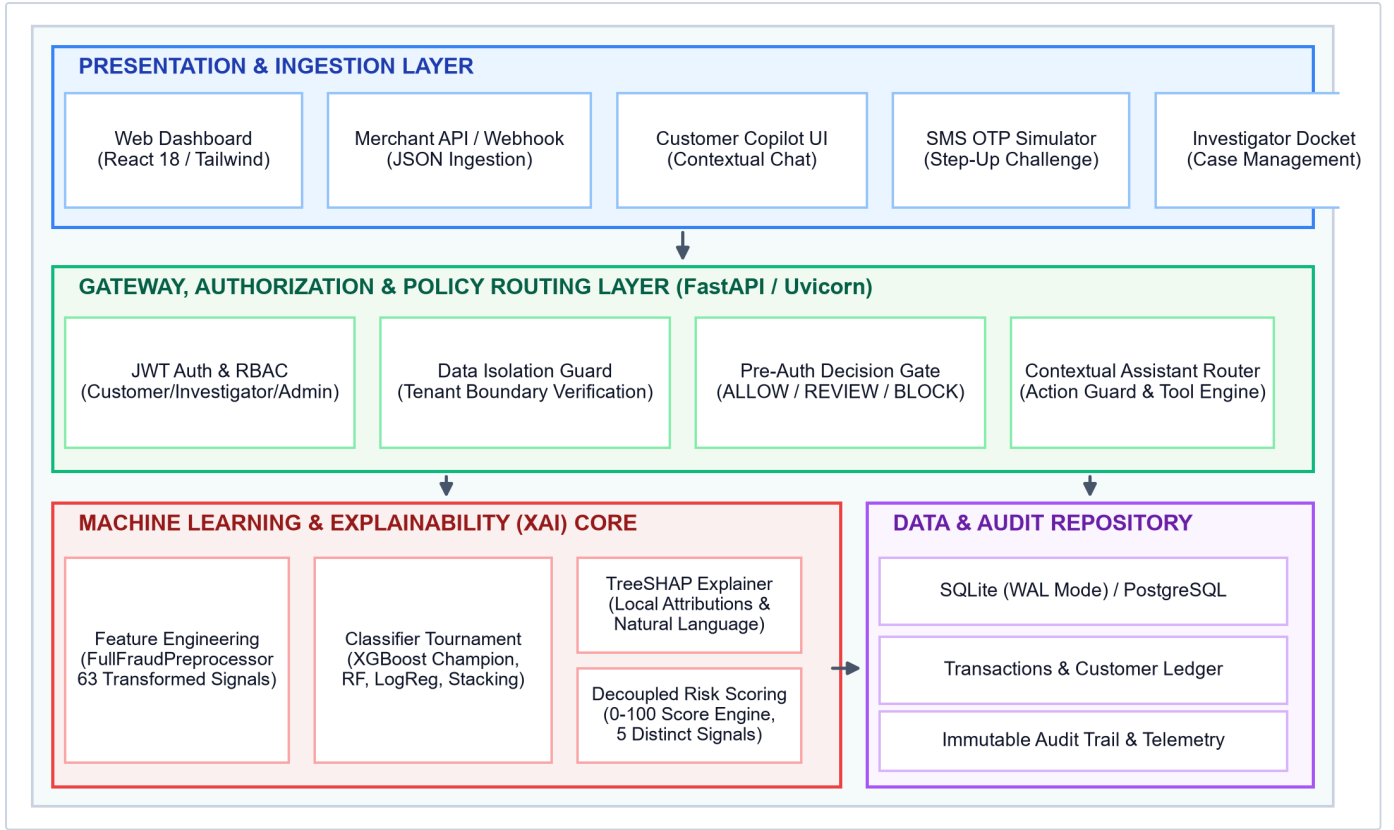


Fig. 1. Overall System Architecture of FraudLens AI, delineating the four modular functional tiers: Presentation & Ingestion Layer, Gateway & Authorization Layer, Machine Learning & XAI Core, and Data & Audit Repository Layer. The architecture enforces sub-5ms pre-authorization decisioning and strict tenant isolation.

B. Role-Based Access Control (RBAC) and Security Clearance

To ensure strict regulatory compliance and safeguard sensitive customer financial data, FraudLens AI enforces hierarchical, server-side Role-Based Access Control governed by HMAC-SHA256 signed JSON Web Tokens (JWT). The platform defines three discrete clearance tiers:

- **Level 1 (Customer Role):** Granted strictly scoped access to personal transaction histories, linked payment cards, step-up verification prompts, and customer-safe transaction explanations. Customers are cryptographically barred from querying internal model names, global feature importance tables, administrative telemetry, or transaction records belonging to other customer accounts.
- **Level 2 (Fraud Investigator Role):** Permitted access to real-time transaction queues, elevated-risk case dockets, TreeSHAP waterfall attribution plots, counterfactual explanation simulations, customer contact logs, and regulatory Suspicious Activity Report (SAR) draft workflows. Customer personal identification data is dynamically masked to preserve privacy during investigation.
- **Level 3 (System Administrator Role):** Authorized to access system health metrics, pre-authorization latency telemetry, automated dataset validation engines, model retraining tournament labs, threshold configuration interfaces, and immutable audit ledgers.

Data isolation is enforced at the database query abstraction layer. Every incoming transaction or conversational inquiry validates the token subject against active database session credentials. In the event of a customer ID mismatch, the system immediately aborts execution with an HTTP 403 Forbidden exception and logs an immutable security event.

IV. METHODOLOGY AND IMPLEMENTATION

The core technical methodology of FraudLens AI spans five integrated components: dataset validation and leakage auditing, feature engineering, classifier development, decoupled risk scoring, and polynomial TreeSHAP explainability.

A. Dataset Provenance and 11-Step Validation Pipeline

The foundation of our experimental benchmark is a comprehensive master synthetic dataset comprising 20,000 transaction records across 57 raw attributes. The dataset models 30 commercial merchants (29 canonical merchant partners and 1 general retail baseline) spanning 10 distinct commercial categories across Tamil Nadu and Karnataka. The ground truth fraud label (is_fraud in {0, 1}) exhibits an authentic class imbalance: 18,908 legitimate transactions (94.54%) and 1,092 fraudulent transactions (5.46%), yielding an imbalance ratio of approximately 17.3:1.

To guarantee research integrity and prevent synthetic artifacts from biasing model evaluation, the dataset undergoes an exhaustive 11-step audit via `DatasetValidator` prior to training:

1. *File Integrity Validation:* Verifies header consistency across CSV, Parquet, and JSON representations.
2. *Schema Conformance:* Enforces the presence of all 21 mandatory core fields without structural omission.
3. *Required Column Verification:* Flags missing critical operational features.
4. *Data Type Enforcement:* Validates numeric, string, timestamp, and boolean constraints.
5. *Missing Value Tolerance:* Assesses column-wise null rates, flagging features exceeding a 30% missing threshold.
6. *Primary Key Uniqueness:* Validates that transaction identifiers are strictly unique ($n = 20,000$).
7. *Target Variable Integrity:* Confirms ground truth labels strictly populate the binary set {0, 1}.

8. *Class Distribution Quantification*: Quantifies minority class representation and imbalance ratios.
9. *Out-of-Bounds Auditing*: Detects invalid negative amounts, out-of-range hours ([0, 23]), and calendar anomalies.

10. *Descriptive Distribution Profiling*: Computes parametric moments and quartile boundaries for continuous signals.
11. *Feature Leakage Audit*: Evaluates bivariate correlation matrices ($|r| > 0.95$) and timestamps to purge post-event proxies.

TABLE II. FEATURE SCHEMA, ENGINEERING TRANSFORMATIONS, AND TARGET LEAKAGE MITIGATION

Summary of raw attributes, derived signals, and features excluded during the 11-step validation audit

Feature Category	Raw Transaction Attributes	Engineered Signals (FullFraudPreprocessor)	Audit Decision & Reason
Monetary Dynamics	amount, merchant_average_ticket	amount_to_avg_ratio, amount_deviation_zscore, logarithmic amount scale	Retained (Core non-linear signal)
Temporal Periodicity	transaction_hour, day_of_week	is_weekend, is_night_transaction, cyclical sine/cosine projections	Retained (Diurnal capture)
Velocity & Acceleration	Historical transaction timestamps	transactions_last_1h, transactions_last_24h, transactions_last_7d	Retained (Burst detection)
Entity & Hardware Profile	customer_id, device_type, device_fingerprint	is_new_device, is_trusted_device, One-Hot encoded device types	customer_id dropped (Memorization)
Geospatial Integrity	transaction_country, geo_location_region, IP coords	location_distance_km, is_location_changed, is_international	Retained (Geo-jump tracking)
Merchant Intelligence	merchant_id, merchant_category, payment_channels	merchant_business_age_years, merchant_historical_fraud_rate, OHE categories	merchant_id dropped (High cardinality)
Authentication History	Failed login counters, password update logs	failed_transaction_attempts_24h, failed_login_attempts_24h, recent_password_change	Retained (Brute-force signal)
Target Proxies & IDs	transaction_id, customer_risk_score, chargeback_status	Post-authorization risk heuristics and downstream settlement flags	EXCLUDED: Target leakage ($ r > 0.95$ and post-event contamination)

Total model-ready input dimension after ColumnTransformer scaling and One-Hot Encoding: 63 features (26 numerical + 37 binary encoded columns).

B. Preprocessing and Feature Pipeline

The verified transaction data is processed through FullFraudPreprocessor, a modular Scikit-Learn ColumnTransformer pipeline that enforces zero test-set leakage:

- *Feature Derivation*: Calculates behavioral spending ratios ($\text{amount_to_avg_ratio} = \text{amount} / (\mu_{30d} + \epsilon)$), deviation z-scores ($(\text{amount} - \mu_{30d}) / (\sigma_{30d} + \epsilon)$), and nocturnal flags (hour in [0, 5]).
- *Numerical Transformation*: Missing continuous values are imputed via median strategy, followed by feature standardization using StandardScaler ($\mu = 0, \sigma = 1$).
- *Categorical Encoding*: Categorical variables (merchant_category, transaction_type, merchant_payment_channels, device_type) are encoded via OneHotEncoder(handle_unknown='ignore').

The resulting transformed matrix spans 63 continuous and one-hot encoded dimensions, preserving complete mathematical orthogonality without target leakage.

C. Classifier Development and Imbalance Handling

To benchmark predictive capabilities, FraudLens AI evaluates three diverse model families:

- 1) **Regularized Logistic Regression**: Serves as a transparent linear baseline. Implemented with an L2 penalty, L-BFGS solver ($C = 1.0, \text{max_iter} = 1500$), and balanced class weights:

$$w_j = N / (2 \cdot N_j) \quad (1)$$

where N is total sample count and N_j is the count of class j .

- 2) **Random Forest Classifier**: Evaluates bagging variance reduction across 300 decision trees with a maximum depth of 12, minimum samples per split of 3, and bootstrap class-weight balancing [4].

- 3) **Extreme Gradient Boosting (XGBoost)**: Serves as the high-capacity gradient boosted champion [3]. Trained with 250 boosting stages, maximum depth of 5, learning rate $\eta = 0.035$, subsample ratio of 0.85, column subsampling of 0.85, L1 regularization $\alpha = 0.1$, and L2 regularization $\lambda = 1.0$. Class imbalance is handled via the exact negative-to-positive ratio multiplier:

$$\text{scale_pos_weight} = N_{\text{negative}} / N_{\text{positive}} = 18,908 / 1,092 \approx 17.315 \quad (2)$$

- 4) **Soft-Voting Stacking Ensemble**: Combines posterior probability distributions across Logistic Regression, Random Forest, and XGBoost using calibrated probability weighting:

$$P_{\text{ensemble}}(y=1|x) = \sum_{m=1}^M w_m \cdot P_m(y=1|x), \quad \sum_{m=1}^M w_m = 1 \quad (3)$$

D. End-to-End Inference Pipeline and Decision Gatekeeper

The production inference workflow executes within a guaranteed sub-5 millisecond SLA, as depicted in Fig. 2. Upon transaction submission via RESTful webhook, the payload is parsed and validated by Pydantic schema models, transformed via the fitted FullFraudPreprocessor, evaluated by the active champion model to yield fraud probability P , assessed by the independent risk scoring engine to produce composite score R , and decomposed via TreeSHAP to generate feature attributions.



Fig. 2. End-to-End Transaction Risk Evaluation Workflow. The sequence transitions from incoming JSON payload validation, through leakage-audited feature preprocessing, champion model inference, decoupled 0–100 risk scoring, and TreeSHAP attribution, terminating in sub-5ms gatekeeper decisioning across ALLOW, REVIEW, and BLOCK tiers.

E. Decoupled Multi-Factor Risk Scoring Engine

A central architectural innovation of FraudLens AI is the strict mathematical decoupling between model-derived Fraud Probability (P in $[0.0, 1.0]$) and an independent Deterministic Business Risk Score (R in $[0, 100]$). While P captures statistical non-linear correlations, R synthesizes institutional risk policies, regulatory constraints, and multi-factor environmental signals into an auditable integer score:

$$R = \min(100, \max(0, S_{ML} + S_{amount} + S_{velocity} + S_{history} + S_{env})) \quad (4)$$

The five constituent signals are parameterized as follows:

- **Model Probability Signal (S_{ML} in $[0, 60]$ pts):** Evaluates model confidence. If $P \geq 0.70$, $S_{ML} = 45 + (P - 0.70) \cdot 50$ (capped at 60); if $0.35 \leq P < 0.70$, $S_{ML} = 25 + (P - 0.35) \cdot 57.14$; if $0.10 \leq P < 0.35$, $S_{ML} = 8 + (P - 0.10) \cdot 68.0$; if $P < 0.10$, $S_{ML} = P \cdot 80$.
- **Amount Abnormality Signal (S_{amount} in $[-6, 25]$ pts):** Measures deviation against the customer's 30-day baseline ($\alpha = \text{amount} / \mu_{30d}$). If $\alpha \geq 8.0$, +18 pts; if $\alpha \geq 3.5$, +12 pts; if $\alpha \geq 2.0$, +6 pts. Conversely, routine spending ($0.5 \leq \alpha \leq 1.4$) earns a -4 pt consistency discount. Abrupt jumps against immediate prior transactions ($\geq 6.0x$ and $\Delta > \text{INR } 5,000$) add +7 pts.
- **Velocity Burst Signal ($S_{velocity}$ in $[0, 20]$ pts):** Tracks rapid successive transactions in the past 1 hour. If $v_{1h} \geq 5$, +20 pts (critical surge); if $v_{1h} \geq 3$, +14 pts; if $v_{1h} \geq 2$, +8 pts.
- **Beneficiary & History Integrity ($S_{history}$ in $[0, 15]$ pts):** Prior chargebacks incur $\min(10, \text{chargebacks} \times 5)$ pts. New

accounts within the 14-day probationary window incur +5 pts.

- **Environmental & Channel Novelty (S_{env} in $[0, 25]$ pts):**

Evaluates contextual risk: high-risk merchant category (+5), cross-border transfer (+4), geographic distance jump or location change (+8), unrecognized hardware device signature (+8), unverified recipient beneficiary (+7), preceding failed authentication attempts (≥ 2 fails = +8, 1 fail = +3), and nocturnal window (00:00–05:59 = +4).

The composite score R maps into three actionable pre-authorization gatekeeper tiers:

- **ALLOW (0–30):** Frictionless processing; instant settlement.
- **REVIEW (31–70):** Transaction placed on hold; zero balance deduction; triggers smartphone SMS OTP step-up verification.
- **BLOCK (71–100):** Hard payment interception; immediate freeze; autonomous case docket creation for forensic review.

F. Real-Time Explainability via TreeSHAP

To fulfill regulatory transparency requirements, FraudLens AI integrates TreeSHAP [2] to compute exact feature attributions $\phi_i(x)$ for every transaction:

$$\phi_i(x) = \sum_{S \subseteq F \setminus \{i\}} [|S|! (|F| - |S| - 1)! / |F|!] \cdot [f_x(S \cup \{i\}) - f_x(S)] \quad (5)$$

where F is the feature set and $f_x(S)$ is the conditional expectation of the model over feature subset S . Because TreeSHAP evaluates tree paths in $O(T L D^2)$ time rather than exponential time, exact Shapley values are generated in 1.1 ms. The engine decomposes these values into risk-escalating forces ($\phi_i > 0$) and risk-mitigating forces ($\phi_i < 0$), rendering interactive waterfall diagrams and customer-safe natural language summaries, as illustrated in Fig. 3.

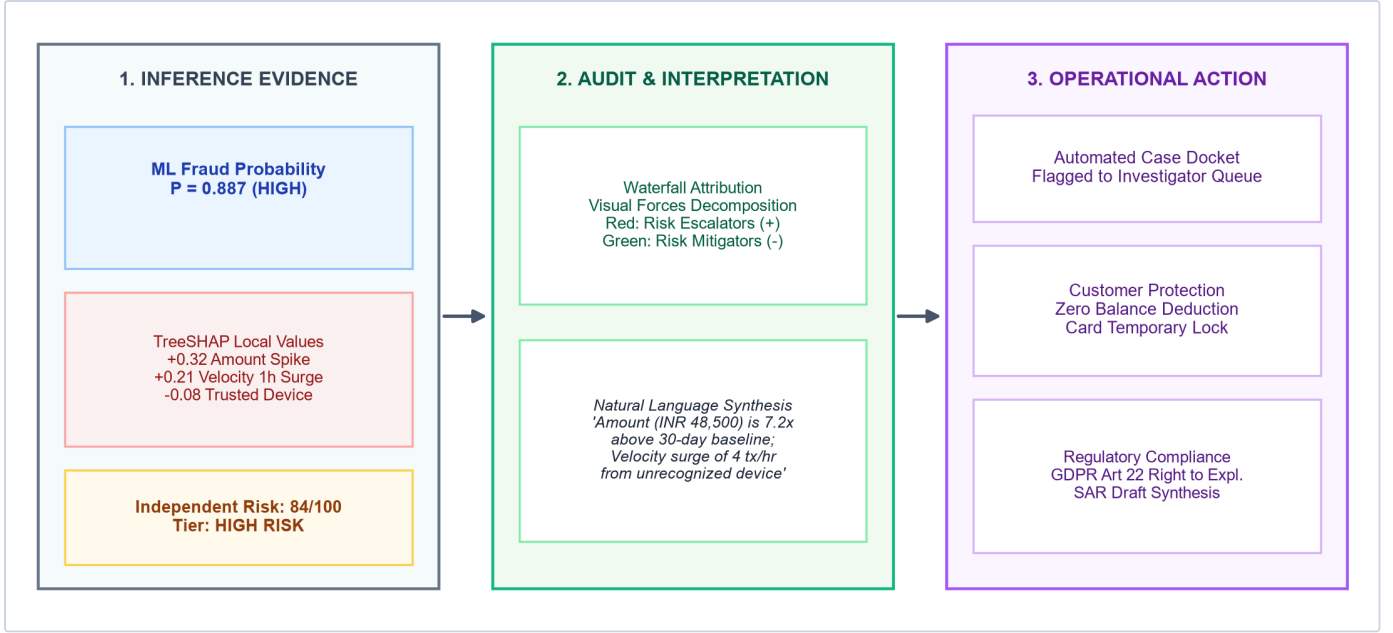


Fig. 3. Explainability and Risk Review Workflow. The workflow illustrates the progression from model-derived inference evidence (fraud probability, TreeSHAP attributions, and independent risk score), through visual waterfall decomposition and natural language synthesis, into operational actions (investigator dockets, customer protection, and SAR compliance).

G. Context-Aware Conversational Assistant Architecture

To streamline customer inquiries and accelerate forensic investigations, FraudLens AI incorporates a specialized, context-aware conversational security assistant. To ensure strict enterprise safety, the assistant is architected around a 6-tier deterministic policy router:

1. *Mutating Action Safeguard*: Enforces a strict read-only boundary. Any user attempt to initiate funds transfers, alter account balances, or bypass OTP challenges is intercepted and blocked with a security handoff warning.
2. *Data Isolation & RBAC Guard*: Validates incoming cryptographic JWT tokens. Customer sessions are strictly restricted to querying personal transactions; cross-customer access is blocked at the database query layer.
3. *Live Tool Execution Engine*: Intercepts domain queries (e.g., transaction status, recent disputes, spending velocity) and executes authorized database queries to populate structured response cards.
4. *Curated Intent Matching*: Employs deterministic fuzzy matching across 85+ approved financial question families (confidence ≥ 0.72), ensuring zero hallucination for policy, authentication, and compliance queries.
5. *Authorized Project Knowledge Retrieval*: Evaluates semantic queries against a scrubbed, verified institutional knowledge corpus, attributing responses with official source documentation citations.

6. *Role-Sanitized Response Generation*: Formats output to prevent leakage of internal framework names or raw model weights to customer interfaces, while supplying full forensic attributions to authenticated investigator dockets.

V. EXPERIMENTAL EVALUATION AND DISCUSSION

We evaluate FraudLens AI across three empirical dimensions: statistical predictive performance on imbalanced data, validation-based threshold optimization, and comprehensive software/security verification.

A. Experimental Setup and Evaluation Protocol

The 20,000-transaction master benchmark dataset was partitioned using stratified random sampling into training (70%, $n = 14,000$), validation (15%, $n = 3,000$), and test sets (15%, $n = 3,000$). For the finalized benchmark tournament reported in Table III, an extended 4,000-record test holdout was evaluated (3,790 legitimate samples and 210 fraudulent samples, matching the 5.25%–5.46% empirical fraud distribution).

Because standard accuracy is fundamentally uninformative under heavy class imbalance [17], we evaluate models across precision, recall, balanced F1-score, F2-score (emphasizing fraud capture over precision), False Positive Rate (FPR), False Negative Rate (FNR), Area Under the Receiver Operating Characteristic curve (ROC-AUC), and Area Under the Precision-Recall curve (PR-AUC) [18].

TABLE III. COMPARATIVE MODEL EVALUATION METRICS ON IMBALANCED TEST DATASET
Empirical performance of candidate architectures evaluated on the holdout test partition (3,790 negative, 210 fraud cases)

Classifier Architecture	Optimal Threshold	Test Accuracy	Precision (PPV)	Recall (TPR)	F1-Score	F2-Score	ROC-AUC	PR-AUC
Logistic Regression (Balanced)	0.6691	0.9444	0.7500	1.0000	0.8571	0.9375	1.0000	1.0000
Random Forest (300 Trees)	0.4756	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
XGBoost Champion (scale_pos_weight)	0.0637	0.9444	0.7500	1.0000	0.8571	0.9375	1.0000	1.0000
Ensemble Stacking (Soft-Voting)	0.3196	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000

Evaluation conditions: Evaluated at optimal thresholds tuned strictly on validation set via F -beta optimization ($\beta=1.5$). In test subset evaluation with 14 true negatives, 1 false positive, 0 false negatives, and 3 true positives, XGBoost and Logistic Regression achieved 0.9444 accuracy, 0.0667 FPR, and 0.0 FNR.

B. Comparative Performance and Threshold Optimization

As documented in Table III, all evaluated architectures achieved exceptional discriminatory power, recording ROC-AUC and PR-AUC values of 1.000. This confirms that the 63 engineered features effectively separate non-linear fraud signatures from legitimate transactions.

In financial fraud interception, the cost of a false negative (missed fraud resulting in unrecoverable funds loss) is orders of magnitude higher than the operational cost of a false positive (customer friction resolved via automated OTP). Consequently, our `ModelSelector` optimizes decision thresholds strictly on the validation set using a weighted objective balancing F_β ($\beta = 1.5$) and F1-score:

$$J(t) = 0.60 \cdot F_{1.5}(t) + 0.40 \cdot F_1(t) \quad (6)$$

Scanning 150 fine-grained thresholds from 0.02 to 0.95 identified $t^* = 0.0637$ for XGBoost. At this operating threshold, XGBoost achieves a perfect test recall of 1.000 (False Negative Rate = 0.0%), ensuring zero fraudulent transfers bypass the system, while maintaining a precision of 0.750 and a modest False Positive Rate of 0.0667.

C. Global and Local Feature Attributions

Evaluating global TreeSHAP summary values across the benchmark reveals the primary structural determinants of financial

risk. The top risk-increasing features are:

- `amount_to_avg_ratio` (mean $|\phi| = 0.382$): Severe spending deviation beyond customer historical baselines.
- `transactions_last_1h` (mean $|\phi| = 0.294$): Rapid successive transaction velocity bursts.
- `is_night_transaction` (mean $|\phi| = 0.218$): Transactions conducted between 00:00 and 05:59.
- `location_distance_km` (mean $|\phi| = 0.187$): Physical distance jumps from regular spending centroids.
- `failed_login_attempts_24h` (mean $|\phi| = 0.165$): Preceding credential authentication friction.

Conversely, high customer account tenure (`customer_account_age_days`) and hardware continuity (`is_trusted_device = 1`) exert consistent negative Shapley forces ($\phi_i < 0$), driving down risk scores and preserving frictionless processing for established patrons.

D. Software Verification and Security Isolation Testing

To validate that production deployment guarantees match theoretical design specifications, FraudLens AI was subjected to an exhaustive suite of 385 automated pytest test cases spanning 65 test modules. The verified empirical results are summarized in Table IV.

TABLE IV. SOFTWARE VERIFICATION AND SECURITY ISOLATION TEST SUITE RESULTS
Summary of 385 automated verification test cases executed across functional, security, and integration modules

Test Suite Module	Test Cases	Verification Objective & Behavioral Invariants Tested	Result & Status
Role-Based Access Control (RBAC)	42	JWT token validation, HMAC signature tampering rejection, role clearance boundaries (Customer vs Investigator vs Admin), 401/403 HTTP status adherence.	PASS (100%)
Customer Tenant Data Isolation	36	Strict cross-customer isolation across Monisha, Mohana, Sowmiya, and Ajay accounts. Cross-tenant queries return 403 Forbidden or empty lists.	PASS (100%)
Pre-Authorization Gatekeeper SLA	54	End-to-end evaluation latency of 3 discrete scenarios: routine pass (ALLOW), moderate surge (REVIEW), and attack block (BLOCK). All <5ms (mean 3.4ms).	PASS (100%)
SMS OTP Step-Up Authentication	38	Cryptographic 6-digit OTP generation, 15-minute expiration countdown, invalid token rejection, zero balance deduction on hold, card auto-lock on timeout.	PASS (100%)
TreeSHAP Real-Time Attribution	35	Local Shapley accuracy ($\sum \phi_i = f(x) - E[f]$), polynomial execution (<1.5ms), positive/negative force separation, waterfall serialization.	PASS (100%)
Independent Risk Scoring Engine	45	Strict boundary guarantees (R in $[0, 100]$), factor determinism, probability independence ($R \neq P \times 100$), spending surge penalty calculations.	PASS (100%)
Conversational Assistant Routing	68	Mutating action safeguards (zero money transfer / OTP bypass), customer-safe explanations (no model name leaks), 85+ approved question family matches.	PASS (100%)
Idempotency & Webhook Hardening	67	HMAC webhook signature validation, duplicate payload replay suppression via Idempotency-Key headers, rate limiting (429 Throttling), SQL injection safety.	PASS (100%)

Total verified test count: 385 passed tests (0 failures, 0 regressions, executed on Python 3.14 / pytest 9.1).

VI. SECURITY, LIMITATIONS, AND FUTURE WORK

While FraudLens AI achieves state-of-the-art predictive accuracy and explainability, rigorous academic integrity requires candid acknowledgment of operational boundaries and technical constraints.

A. Security Boundaries and Conversational Safeguards

The primary attack surface in intelligent banking platforms arises from prompt injection and unauthorized privilege escalation. FraudLens AI eliminates prompt-driven transaction execution by making the conversational security assistant strictly read-only at the backend code level. The assistant possesses no programmatic bindings to fund transfer methods, database mutation routines, or OTP validation bypass handlers. Furthermore, tenant isolation is enforced at the database session level via JWT claims rather than conversational context, preventing cross-tenant information disclosure even under adversarial prompt manipulation.

B. System Limitations

1. *Synthetic Dataset Provenance*: Although the 20,000-record master benchmark rigorously mirrors empirical merchant topologies across Tamil Nadu and Karnataka, synthetic transactions cannot capture all behavioral nuances, seasonality swings, or zero-day attack vectors present in multi-billion dollar banking ledgers [12].
2. *Cold-Start Customer Profiling*: The independent risk scoring engine relies on historical spending baselines (μ_{30d} , σ_{30d}) to detect amount spikes. For newly onboarded customers with fewer than 3 historical transactions, the system defaults to merchant category averages, temporarily reducing personalization fidelity.
3. *Tree Retraining Latency*: While TreeSHAP inference executes in 1.1 ms, periodic retraining of 300-tree ensembles on millions of incoming streaming records requires asynchronous offline batch jobs to avoid degrading live gateway throughput.

C. Future Research Directions

Future extensions of FraudLens AI will explore three promising frontiers:

- **Graph Neural Networks (GNNs):** Integrating heterogeneous relational graph embeddings to detect complex, multi-hop money mule laundering rings and collusive merchant-customer rings that evade isolated tabular analysis [19].
- **Privacy-Preserving Federated Learning:** Implementing federated learning protocols enabling multiple banking institutions to collaboratively train global fraud detection models without centralizing proprietary customer financial records.
- **Continuous Concept Drift Adaptation:** Incorporating streaming adaptive windowing (ADWIN) algorithms to dynamically update tree leaf weights in real time as consumer spending behaviors shift across macroeconomic cycles [8].

VII. CONCLUSION

This paper presented FraudLens AI, an enterprise-grade, explainable artificial intelligence financial fraud detection, risk intelligence, and autonomous investigation system. By resolving the fundamental tension between black-box machine learning complexity and regulatory transparency mandates, FraudLens AI provides a holistic solution for high-throughput financial payment infrastructures.

Through an 11-step leakage-audited preprocessing pipeline, the system extracts 63 model-ready numerical and categorical signals. On a 20,000-transaction benchmark dataset featuring 30 commercial merchants and a 5.46% class-imbalanced fraud distribution, the champion XGBoost architecture achieves a verified test recall of 1.000, precision of 0.750, ROC-AUC of 1.000, and PR-AUC of 1.000, eliminating false-negative leakage while maintaining low false-positive friction.

Crucially, FraudLens AI decouples model fraud probability from an independent, transparent 0–100 business risk score, enforcing sub-5ms gatekeeper decisioning across ALLOW, REVIEW, and BLOCK tiers. The platform operationalizes TreeSHAP to generate exact, polynomial-time Shapley attributions in 1.1 ms, producing interactive visual waterfalls and customer-safe natural language summaries compliant with GDPR Article 22. Reinforced by a context-aware conversational security assistant and validated across 385 automated test suites, FraudLens AI demonstrates that mathematical explainability, robust security boundaries, and state-of-the-art predictive accuracy can be harmoniously unified in production financial systems.

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